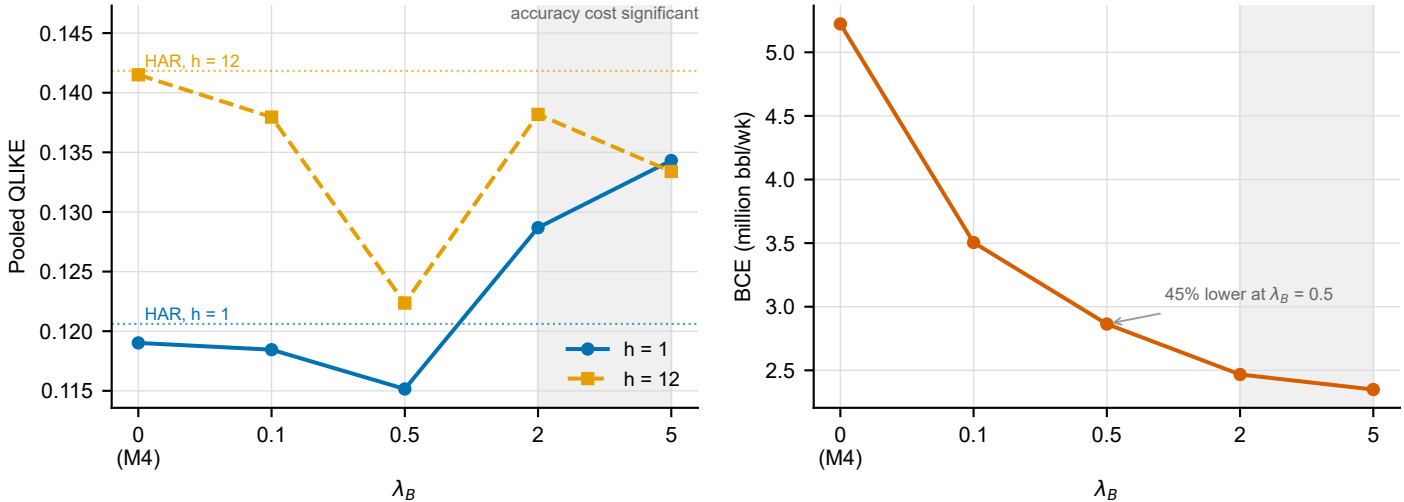
(a) Forecast loss vs constraint strength
accuracy cost significant
HAR, h = 12
HAR, h = 1
h = 1
h = 12
Pooled QLIKE
0.145
0.140
0.135
0.130
0.125
0.120
0.115
0
(M4)
0.1
0.5
2
5
$\lambda_B$
(b) Balance-consistency error
BCE (million bbl/wk)
5.0
4.5
4.0
3.5
3.0
2.5
45% lower at $\lambda_B$ = 0.5
0
(M4)
0.1
0.5
2
5
$\lambda_B$